25900771 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPERANCE EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Discipline Specific Core Course (DSC) - MG1DSCBLW100 - CORPORATE REGULATIONS AND COMPLIANCE

(2024 ADMISSION ONWARDS)

Duration: 1 Hour **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Attempt any **20** Questions

Each Question carries **1** mark

1. Appeals from the National Company Law Tribunal (NCLT) can be filed before: [U] / [CO1, CO2]

   a). Special Court
   b). National Company Law Appellate Tribunal (NCLAT)
   c). High Court
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2. What is the limitation of the Doctrine of indoor management? [U] / [CO2, CO4]

   a). It cannot be invoked when internal irregularities are unknown
   b). It only applies to written contracts
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3. A company incorporated under the Companies Act 2013 has a separate legal entity. What does this mean? [U] / [CO1]

a). The company is not responsible for its own debts.

b). The company can sue and be sued in its own name

c). The company is not subject to government regulations.

d). The company's shareholders are personally liable for its debts.

4. What is the liability of shareholders in a company limited by shares? [U] / [CO1, CO3]

a). Unlimited liability for all debts of the company

b). Limited liability up to the amount unpaid on their shares

c). Limited liability up to the total value of their shares

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5. In a holding company structure, what is a subsidiary? [K] / [CO1, CO3]

a). A company that owns shares in the holding company.

b). A company that is controlled by the holding company through majority ownership.

c). A separate entity that operates independently.

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6. Which of the following describes "misrepresentation" in the context of a prospectus? [U] / [CO2, CO4]

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7. According to Section 61 of the Companies Act, 2013, how can a company alter the provisions of its Memorandum of Association? [A] / [CO2, CO4]

a). By passing a simple majority resolution

b). By passing a special resolution

c). By obtaining the approval of the government

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8. Which document is required by regulatory authorities before a company can offer securities to the public? [U] / [CO2, CO4]

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c). Company Prospectus

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a). A debt instrument
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a). Sell their shares to equity shareholders
b). Vote on all resolutions placed before the company
c). Demand liquidation of the company
d). Transfer their voting rights to equity shareholders

13. Which of the following is NOT a mode of creating a charge? [U] / [CO2, CO3]

a). Hypothecation agreements
b). Mortgage deeds
c). Lease agreements
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14. A company can alter its share capital by: [U] / [CO3, CO4]

a). Increasing authorised capital
b). Canceling shares not yet taken
c). Consolidating shares into larger amounts
d). All the other three options

15. What is the minimum number of directors in an audit committee? [K] / [CO4]

a). 2
b). 1
c). 3
d). 4

16. Which of the following is not a just and equitable ground for compulsory winding up of a company? [U] / [CO4, CO6]

a). Deadlock in Management
b). Loss of Substratum
c). Net Loss in the previous year
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17. Which of the following is the correct condition for the applicability of CSR norms? [A] / [CO4, CO6]

a). having networth of rupees 1,000 crore or more
b). having turnover of rupees 1,000 core or more
c). netprofit of rupees 500 crore or more
d). All the other three options

18. The order for the winding up of a company shall operate in favour of [K] / [CO4, CO6]

a). Creditors
b). Contributories
c). A or B
d). Both A and B

19. Which of the following is NOT a principle of corporate governance? [A] / [CO4, CO6]

a). Accountability
b). Transparency
c). Profit maximization
d). Fairness

20. ____ omission to give notice of a general meeting shall not invalidate the proceedings of the general meeting. [U] / [CO2, CO5, CO6]

a). Accidental
b). Deliberate
c). Planned
d). Strategic

21. After a meeting, what is the time frame allowed as per the Companies Act, 2013 for preparing minutes ? [K] / [CO5]

a). Immediately after the meeting
b). Within 7 days
c). Within 30 days
d). Within 90 days

22. In the event of a tie after a poll is conducted in a general meeting, who has the casting vote? [U] / [CO5, CO6]

a). Any shareholder with more than 50% shares
b). The company secretary
c). The chairman of the meeting, if permitted by the articles
d). There is no casting vote in case of a tie

[20x1 = 20]

Part B

Multiple Choice Questions

Answer any **25** Questions

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23. Which of the following are the functions of a promoter? (i) Look into the feasibility and viability of the business idea. (ii) decide the name of the company (iii) issues certificate of incorporation (iv) settles the contents of Memorandum and Articles of Association. [U] / [CO1, CO3]

a). (i) and (ii) only

b). (i) (ii) and (iv) only

c). (i), (ii) and (iii) only

d). (i), (ii), (iii) and (iv)

24. Under which of the following circumstances the court may lift corporate veil? (i) Two year consecutive loss (ii) Prevention of fraud (iii) Commercial Insolvency (iv) Investigation of ownership of company (v) A person sustained loss as a consequence of mis-statement in prospectus [U] / [CO1, CO3]

a). (i) (ii) and (iii) only

b). (i) and (ii) only

c). (ii) (iii) and (v) only

d). (ii) (iv) and (v) only

25. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): The common seal is mandatory for all companies under the Companies Act 2013. Reason (R): Under the Companies Act 2013, a common seal is optional, and agreements can be made binding through the signatures of directors or the company secretary. [An] / [CO1]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

c). Assertion (A) is false, but Reason (R) is true.

d). Both Assertion (A) and Reason (R) are false.

26. Which of the following statements are correct? Statement I: Memorandum of Association sets out the the regulations for the internal management of the company. Statement II: Memorandum of Association is subordinate to Articles of Association. [U] / [CO1, CO3]

a). Only Statement I is correct

b). Only Statement II is correct

c). Both the Statements are correct
d). None of the Statements is correct

27. Documents issued by issue houses to the general public for sale of shares or debentures is known as …..... [U] / [CO2, CO3, CO4]

a). Deemed prospectus
b). shelf prospectus
c). Red herring prospectus
d). Abridged prospectus

28. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): The Serious Fraud Investigation Office (SFIO) is an investigative body established by the Central Government as per the Companies Act, 2013. Reason (R): SFIO has exclusive authority to investigate frauds and no other agency can continue an investigation once SFIO takes up the case. [An] / [CO1, CO2]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).
b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).
c). Assertion (A) is true, but Reason (R) is false.
d). Assertion (A) is false, but Reason (R) is true.

29. Which of the folowing is/ are correct about promoters of a company? Statement I: Promoter is not allowed to derive any profit out of sale of own property to the company Statement II: Promoter is allowed to derive profit out of sale of own property to the company after full disclosure of all material facts [U] / [CO1, CO3]

a). Only Statement I is correct
b). Only Statement II is correct
c). Both the Statements are correct
d). None of the Statements is correct

30. A private limited company is required to have a minimum paid-up capital of _____ and cannot raise funds from the public by issuing _____. [K] / [CO1, CO3]

a). ₹1 lakh; shares
b). ₹5 lakh; debentures
c). ₹10 lakh; bonds
d). ₹2 lakh; equity

31. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion: Nidhi companies are allowed to provide loans to both members and non-members. Reason: This flexibility helps them expand their customer base and improve profitability. [U] / [CO1, CO3]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

c). Assertion(A) is true, but Reason (R) is false

d). Assertion (A) is false, but Reason (R) is true.

32. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion: A foreign company must comply with Indian laws when conducting business in India. Reason: Compliance ensures legal protection and operational legitimacy in the Indian market. [U] / [CO1, CO3]

a). Assertion(A) is true, but Reason (R) is false

b). Assertion (A) is false, but Reason (R) is true.

c). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

d). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

33. Which of the following statements is/are correct? (i) A firm can be appointed as a Director of a company (ii) A body corporate can be appointed as director of a company [U] / [CO2, CO3]

a). Only (i) is correct

b). Only (ii) is correct

c). Both (i) & (ii) are correct

d). Both (i) & (ii) are incorrect

34. Which of the following statements is/are correct? (i) Every listed public company shall have atleast two-third of the total number of directors as independent directors (ii) The Central Government is empowered to prescribe certain minimum number of independent directors in case of any class or classes of public companies [U] / [CO3, CO4]

a). Only (i) is correct

b). Only (ii) is correct

c). Both (i) & (ii) are correct

d). Both (i) & (ii) are incorrect

35. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): Equity shareholders are the first to be paid during company liquidation. Reason (R): Equity shareholders bear the highest risk but also enjoy the highest rewards [A] / [CO3, CO4]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

36. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): The transfer of shares requires a legal document. Reason (R): This document does not ensure the proper recording of ownership changes [A] / [CO3, CO4]

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

37. Match the following: (A) Directors as agents - (i) Collective Decisions (B) Directors as Trustees - (ii) Bind the company for their actions (C) Directors as Officers - (iii) Fiduciary Relationship (D) Board - (iv) Employee [U] / [CO3, CO4]

a). A-(i),B-(iv),C-(ii),D-(iii)
b). A-(iii),B-(ii),C-(i),D-(iv)
c). A-(iv),B-(i),C-(iii),D-(ii)
d). A-(ii),B-(iii),C-(iv),D-(i)

38. Which of the following statements is/are correct? (i) A Company Secretary cannot be considered as a mere employee. (ii) Company Secretary has the same level of authority as directors. [U] / [CO3, CO4, CO5]

a). Only (i) is correct
b). Only (ii) is correct
c). Both (i) & (ii) are correct
d). Both (i) & (ii) are incorrect

39. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): A company may reduce its share capital to extinguish any unpaid capital. Reason (R): Reduction of share capital is only done when a company is liquidating or reducing liability. [A] / [CO3, CO4]

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

40. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): Subscribed capital is always equal to issued capital. Reason (R): All shares issued by the company are not always purchased by the public [A] / [CO3, CO4]

a). Both A and R are true, and R is the correct explanation of A.
b). Both A and R are true, but R is not the correct explanation of A.
c). A is true, but R is false.
d). A is false, but R is true.

41. Which of the following business can be transacted in an annual general meeting? (i) Consideration of financial statements and reports from the directors and [A] / [CO3, CO4]

auditors. (ii) Appointing a replacement of director or directors in place of those who have retired (iii) Removal of a director

a). (i) (ii) and (iii)
b). (i) and (ii) Only
c). (i) Only
d). (ii) and (iii)

42. Which of the following statements is/are correct? Statement I: Winding up is a process in which life of a company is brought to end. Statement II: When the winding up process is initiated, the ownership of the assets of the company will be immediately transferred to the NCLAT. [U] / [CO4, CO6]

a). Statement I is correct
b). Statement II is correct
c). Both Statement I and II are correct
d). Neither Statement I nor II is correct

43. Which of the following activities cannot be counted as CSR under the Companies Act, 2013? [A] / [CO6]

a). Donations to political parties
b). Promoting education and healthcare
c). Ensuring environmental sustainability
d). Contribution to disaster relief efforts

44. Match the following with the appropriate option-Minimum number of directors in: i) Public Company a) 2 ii) Private Company b) 1 iii) One Person Company c) 3 [K] / [CO6]

a). i-a, ii-b, iii-c
b). i-c, ii-a, iii-b
c). i-b, ii-a, iii-c
d). i-a, ii-c, iii-b

45. In India, the powers and duties of the liquidator are governed by (i) Companies Act (ii) Insolvency and Bankruptcy Code [K] / [CO4, CO6]

a). (i) Only
b). (ii) Only
c). Neither (i) nor (ii)
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46. Which of the following is a benefit of CSR initiatives to employees? i) CSR focuses solely on customer relations ii) CSR helps create a positive work environment and fosters employee loyalty iii) CSR eliminates the need for employee training iv) CSR allows companies to reduce employee engagement [An] / [CO6]

a). i
b). ii
c). iii
d). iv

47. For the Assertion (A) and Reason (R) below, choose the correct alternative: [An] / [CO5, CO6]
Assertion (A): A proxy can vote on behalf of a shareholder in a company's general meeting. Reason (R): A proxy is an individual who has been authorized by a shareholder to attend and vote at a meeting in their absence.

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

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48. Which of the following are the correct steps involved in online company formation through the MCA21 portal? [U] / [CO5, CO6]

a). Name reservation, Incorporation, DIN, DSC, Registration on MCA portal

b). DIN, DSC, Name reservation, Incorporation, Registration on MCA portal

c). DSC, DIN, Registration on MCA portal, Name reservation, Incorporation

d). Incorporation, Name reservation, DSC, Registration on MCA portal, DIN

49. Which of the following statements is true regarding the ownership of government companies? [U] / [CO1, CO3]

a). Government companies can have any percentage of government ownership.

b). A government company is defined as having 50% ownership by the central government and 50% by the state government.

c). A government company must have at least 51% ownership by either the state government or the central government.

d). Only the central government can own government companies.

[25x2 = 50]

25900771 **B**

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c). Red herring prospectus
d). Abridged prospectus

33. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): The common seal is mandatory for all companies under the Companies Act 2013. Reason (R): Under the Companies Act 2013, a common seal is optional, and agreements can be made binding through the signatures of directors or the company secretary. [An] / [CO1]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

c). Assertion (A) is false, but Reason (R) is true.

d). Both Assertion (A) and Reason (R) are false.

34. Which of the following statements is/are correct? (i) A Company Secretary cannot be considered as a mere employee. (ii) Company Secretary has the same level of authority as directors. [U] / [CO3, CO4, CO5]

a). Only (i) is correct

b). Only (ii) is correct

c). Both (i) & (ii) are correct

d). Both (i) & (ii) are incorrect

35. Which of the following statements is true regarding the ownership of government companies? [U] / [CO1, CO3]

a). Government companies can have any percentage of government ownership.

b). A government company is defined as having 50% ownership by the central government and 50% by the state government.

c). A government company must have at least 51% ownership by either the state government or the central government.

d). Only the central government can own government companies.

36. Match the following with the appropriate option-Minimum number of directors in: i) Public Company a) 2 ii) Private Company b) 1 iii) One Person Company c) 3 [K] / [CO6]

a). i-a, ii-b, iii-c

b). i-c, ii-a, iii-b

c). i-b, ii-a, iii-c

d). i-a, ii-c, iii-b

37. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): A proxy can vote on behalf of a shareholder in a company’s general meeting. Reason (R): A proxy is an individual who has been authorized by a shareholder to attend and vote at a meeting in their absence. [An] / [CO5, CO6]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true

38. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion (A): The Serious Fraud Investigation Office (SFIO) is an investigative body established by the Central Government as per the Companies Act, 2013. Reason (R): SFIO has exclusive authority to investigate frauds and no other agency can continue an investigation once SFIO takes up the case. [An] / [CO1, CO2]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

c). Assertion (A) is true, but Reason (R) is false.

d). Assertion (A) is false, but Reason (R) is true.

39. Which of the following business can be transacted in an annual general meeting? (i) Consideration of financial statements and reports from the directors and auditors. (ii) Appointing a replacement of director or directors in place of those who have retired (iii) Removal of a director [A] / [CO3, CO4]

a). (i) (ii) and (iii)

b). (i) and (ii) Only

c). (i) Only

d). (ii) and (iii)

40. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion: Nidhi companies are allowed to provide loans to both members and non-members. Reason: This flexibility helps them expand their customer base and improve profitability. [U] / [CO1, CO3]

a). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

b). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

c). Assertion(A) is true, but Reason (R) is false

d). Assertion (A) is false, but Reason (R) is true.

41. For the Assertion (A) and Reason (R) below, choose the correct alternative: Assertion: A foreign company must comply with Indian laws when conducting business in India. Reason: Compliance ensures legal protection and operational legitimacy in the Indian market. [U] / [CO1, CO3]

a). Assertion(A) is true, but Reason (R) is false

b). Assertion (A) is false, but Reason (R) is true.

c). Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of Assertion (A).

d). Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of Assertion (A).

42. A private limited company is required to have a minimum paid-up capital of _____ and cannot raise funds from the public by issuing _____. [K] / [CO1, CO3]

a). ₹1 lakh; shares

b). ₹5 lakh; debentures

c). ₹10 lakh; bonds

d). ₹2 lakh; equity

43. Which of the following activities cannot be counted as CSR under the Companies Act, 2013? [A] / [CO6]

a). Donations to political parties

b). Promoting education and healthcare

c). Ensuring environmental sustainability

d). Contribution to disaster relief efforts

44. Under which of the following circumstances the court may lift corporate veil? (i) Two year consecutive loss (ii) Prevention of fraud (iii) Commercial Insolvency (iv) Investigation of ownership of company (v) A person sustained loss as a consequence of mis-statement in prospectus [U] / [CO1, CO3]

a). (i) (ii) and (iii) only

b). (i) and (ii) only

c). (ii) (iii) and (v) only

d). (ii) (iv) and (v) only

45. Which of the following statements is/are correct? (i) Every listed public company shall have atleast two-third of the total number of directors as independent directors (ii) The Central Government is empowered to prescribe certain minimum number of independent directors in case of any class or classes of public companies [U] / [CO3, CO4]

a). Only (i) is correct

b). Only (ii) is correct

c). Both (i) & (ii) are correct

d). Both (i) & (ii) are incorrect

46. Which of the following statements is/are correct? (i) A firm can be appointed as a Director of a company (ii) A body corporate can be appointed as director of a company [U] / [CO2, CO3]

a). Only (i) is correct

b). Only (ii) is correct

c). Both (i) & (ii) are correct

d). Both (i) & (ii) are incorrect

47. Which of the following are the correct steps involved in online company formation through the MCA21 portal? [U] / [CO5, CO6]

a). Name reservation, Incorporation, DIN, DSC, Registration on MCA portal

b). DIN, DSC, Name reservation, Incorporation, Registration on MCA portal

c). DSC, DIN, Registration on MCA portal, Name reservation, Incorporation

d). Incorporation, Name reservation, DSC, Registration on MCA portal, DIN

48. Which of the following statements is/are correct? Statement I: Winding up is a process in which life of a company is brought to end. Statement II: When the winding up process is initiated, the ownership of the assets of the company will be immediately transferred to the NCLAT. [U] / [CO4, CO6]

a). Statement I is correct

b). Statement II is correct

c). Both Statement I and II are correct

d). Neither Statement I nor II is correct

49. Which of the following statements are correct? Statement I: Memorandum of Association sets out the the regulations for the internal management of the company. Statement II: Memorandum of Association is subordinate to Articles of Association. [U] / [CO1, CO3]

a). Only Statement I is correct

b). Only Statement II is correct

c). Both the Statements are correct

d). None of the Statements is correct

[25x2 = 50]